



Income Tax Department

Ministry of Finance, Government of India

Limits for the purposes of Schedule III [Table: Sl. No. 11] to the Act.

279. (1) The amount, which is not to be included in the total income of an assessee in respect of the special allowance referred to in Schedule III [Table: Sl. No. 11] to the Act, shall be the least of the following:

- (a) the actual amount of such allowance received by the assessee in respect of the relevant period; or
- (b) the amount by which the expenditure actually incurred by the assessee in payment of rent in respect of residential accommodation occupied by him exceeds one-tenth of the amount of salary due to the assessee for the relevant period; or
- (c) in case of an assessee employed in the location mentioned in column B of the following Table, an amount equal to such percentage of salary, mentioned in column C thereof, due to the assessee in respect of the relevant period:—

TABLE

Sl. No.	Location of residential accommodation	Percentage of salary
A	B	C
1.	Mumbai, Kolkata, Delhi, Chennai, Hyderabad, Pune, Ahmedabad and Bengaluru.	50%
2.	Any other place.	40%

(2) In this rule,—

- (a) "relevant period" means the period during which the said accommodation was occupied by the assessee during the tax year; and
- (b) "salary" includes dearness allowance, if provided for under the terms of employment, but excludes all other allowances and perquisites.

